BIASED ACCOUNTING CHOICES

Learning Outcome

- describe a spectrum for assessing financial reporting quality

The next level down in the spectrum shown in Exhibit 2 is "Within GAAP, but biased choices." Biased choices result in financial reports that do not faithfully represent the economic substance of what is being reported. The problem with bias in financial reporting, as with other deficiencies in reporting quality, is that it impedes an investor's ability to correctly assess a company's past performance, to accurately forecast future performance, and thus to appropriately value the company.

Choices are deemed to be "aggressive" if they increase a company's reported performance and financial position in the period under review. The choice can increase the amount of revenues, earnings, or operating cash flow reported for the period, or decrease expenses, or reduce the level of debt reported on the balance sheet. Aggressive choices may lead to a reduction in the company's reported performance and in its financial position in later periods. In contrast, choices are deemed "conservative" if they decrease a company's performance and financial position in the reporting period. This can include lowering the reported revenues, earnings, or operating cash flow reported or increasing expenses, or recording a higher level of debt on the balance sheet. Conservative choices may lead to a rise in the company's reported performance and financial position in later periods.

Another type of bias is understatement of earnings volatility, so-called earnings smoothing. Earnings smoothing can result from conservative choices to understate earnings in periods when a company's operations are performing well, building up (often hidden) reserves that allow aggressive choices in periods when its operations are struggling.

Biased choices can be made not only in the context of reported amounts but also in the context of how information is presented. For example, companies can disclose information transparently, which facilitates analysis, or they can disclose it in a manner that aims to obscure unfavorable or emphasize favorable information.

EXAMPLE 1

Quality of Financial Reports

PACCAR Inc. designs, manufactures, and distributes trucks and related aftermarket parts that are sold worldwide under the Kenworth, Peterbilt, and DAF nameplates. In 2013, the US SEC charged PACCAR for various accounting deficiencies that "clouded their financial reporting to investors in the midst of the financial crisis." The SEC complaint cites the company's 2009 segment reporting. Exhibit 4 presents an excerpt from the notes to PACCAR's financial statements and an excerpt from the management discussion and analysis (MD&A) of PACCAR's annual report.

Exhibit 4:

PACCAR'S 2009 Financial Statements and Annual Report

A. Excerpt from Notes

Rate Your Confidence
High
Medium
Low
Continue »

Category
Financial Reporting Quality

Related Questions:
Practice questions related to this topic

PACCAR operates in two principal segments, Truck and Financial Services.

The Truck segment includes the manufacture of trucks and the distribution of related aftermarket parts, both of which are sold through a network of independent dealers. . . . The Financial Services segment is composed of finance and leasing products and services provided to truck customers and dealers … Included in All Other is PACCAR's industrial winch manufacturing business. Also within this category are other sales, income and expenses not attributable to a reportable segment, including a portion of corporate expense.

Pre-tax Income by Business Segment (USD millions)

	2009	2008	2007
Truck	USD25.9	USD1,156.5	USD1,352.8
All other	42.2	6.0	32.0
	68.1	1,162.5	1,384.8
Financial services	84.6	216.9	284.1
Investment income	22.3	84.6	95.4
	USD175.0	USD1,464.0	USD1,764.3

B. Excerpt from MD&A

Net sales and revenues and gross margins for truck units and aftermarket parts are provided below. The aftermarket parts gross margin includes direct revenues and costs, but excludes certain truck segment costs.

	2009	2008	Change (%)
Net Sales and Revenues			
Trucks	USD5,103.30	USD11,281.30	−55
Aftermarket parts	1,890.70	2,266.10	−17
	USD6,994.00	USD13,547.40	−48
Gross Margin			
Trucks	−USD46.6	USD1,141.70	−104
Aftermarket parts	625.7	795.20	−21
	USD579.1	USD1,936.90	−70

1. Based on the segment data excerpted from the notes to the financial statements, was PACCAR's truck segment profitable in 2009?

   Hide Solution

   Solution:

   Yes, the segment data presented in the note to the financial statements indicates that the truck segment earned USD25.9 million in 2009.

2. Based on the data about the truck's gross margin presented in the MD&A, was PACCAR's truck segment profitable in 2009?

   Hide Solution

   Solution:

   No, the segment data presented in the MD&A indicates that the truck segment had a negative gross margin.

3. What is the main difference between the note presentation and the MD&A presentation?

The main difference between the note presentation and the MD&A presentation is that the aftermarket parts business is combined with the trucks business in the notes but is separated in the MD&A. Although the data are not exactly comparable in the two disclosures (because the note shows income before taxes and the MD&A shows gross profit), the two disclosures present a different picture of PACCAR's profits from truck sales.

4. The SEC complaint stated that "PACCAR failed to report the operating results of its aftermarket parts business separately from its truck sales business as required under segment reporting requirements, which are in place to ensure that investors gain the same insight into a company as its executives." Is the PACCAR situation an example of issues with financial reporting quality, earnings quality, or both?

Hide Solution

Solution:

The PACCAR situation appears to be an example of issues with both financial reporting quality and earnings quality. The substantial decrease in truck sales and the negative gross margin reflect poor earnings quality. The failure to disclose clear segment information is an instance of poor financial reporting quality.

Although choices exist within GAAP for the presentation of a desired economic picture, non-GAAP reporting adds yet another dimension of management discretion. Non-GAAP reporting of financial metrics not in compliance with generally accepted accounting principles, such as US GAAP and IFRS, includes both financial metrics and operating metrics.[5] Non-GAAP financial metrics relate directly to the financial statements. A common non-GAAP financial metric is "non-GAAP earnings," which are created by companies "that adjust standards-compliant earnings to *exclude items required* by accounting standards or to *include items not permitted* by accounting standards" (Ciesielski and Henry, 2017). In contrast, non-GAAP operating metrics do not relate directly to the financial statements and include metrics that are typically industry-driven, such as subscriber numbers, active users, and occupancy rates.

Non-GAAP financial reporting has become increasingly common, presenting challenges to analysts. An important challenge is that non-GAAP financial reporting diminishes comparability across financial statements. The adjustments that companies make to create non-GAAP earnings, for example, are generally ad hoc and thus differ significantly. When evaluating non-GAAP metrics, investors must decide the extent to which specific adjustments should be incorporated into their analyses and forecasts.[6]

Another challenge arises from differences in terminology. Non-GAAP earnings are sometimes referred to as underlying earnings, adjusted earnings, recurring earnings, core earnings, or similar. Exhibit 5 provides an example from Jaguar Land Rover Automotive plc (JLR), a subsidiary of Tata Motors Ltd. The company prepares its financial reports under IFRS. The exhibit is an excerpt from JLR's 2016/17 annual report and uses the term "alternative performance measures." Exhibit 6 is from Tata Motors Ltd.'s Form 6-K filed with the US SEC, containing supplemental information regarding JLR and using the term "non-IFRS Financial Measures." The information in the two exhibits is essentially identical, but the terminology and formatting differ.

Exhibit 5:

Excerpt from JLR's 2016/17 Annual Report: Footnote 3

Many companies use alternative performance measures (APMs) to provide helpful additional information for users of their financial statements, telling a clearer story of how the business has performed over the period. . . . These measures exclude certain items that are included in comparable statutory measures….

Reconciliations between these alternative performance measures and statutory reported measures are shown below.

Fiscal year ended 31 March 2017	GBP millions
EBITDA	**2,955**
Depreciation and amortization	–1,656
Share of profit/(loss) of equity accounted investments	159
EBIT	**1,458**
Foreign exchange (loss)/gain on derivatives	–11
Unrealised gain/(loss) on commodities	148
Foreign exchange loss on loans	–101
Finance income	33
Finance expense (net)	–68
Exceptional item	**151**
Profit before tax	**1,610**

Exhibit 6:

Excerpt from Tata Motors Ltd. SEC Form 6-K

Non-IFRS Financial Measures

This Report includes references to certain non-IFRS measures, including EBITDA, EBIT . . . [These measures] and related ratios should not be considered in isolation and are not measures of JLR's financial performance or liquidity under IFRS and should not be considered as an alternative to profit or loss for the period or any other performance measures derived in accordance with IFRS or as an alternative to cash flow from operating, investing or financing activities or any other measure of JLR's liquidity derived in accordance with IFRS. . . . In addition, EBITDA, EBIT… as defined, may not be comparable to other similarly titled measures used by other companies.

Form 6-K Supplemental Information Regarding the Jaguar and Land Rover Business of Tata Motors Limited

The reconciliation of JLR's EBIT and EBITDA to profit for the period line item is:

Fiscal year ended 31 March 2017	GBP millions
Profit for the period	1,272
Add back taxation	338
Add/(less) back exceptional charge/(credit)	–151
Add back/(less) foreign exchange (gains)/loss – financing	101
Add back/(less) foreign exchange (gains)/loss – derivatives	11
Add back/(less) unrealized commodity losses/(gains) – unrealized derivatives	–148
Less finance income	–33
Add back finance expense (net)	68
EBIT	**1,458**
Add back depreciation and amortization	1,656
Add/(less) back share of loss/(profit) from equity accounted investees	–159

EBITDA	2,955

Management emphasis on non-GAAP financial measures to deflect attention from less-than-desirable GAAP financial results is an example of an aggressive presentation choice. Since 2003, if a company uses a non-GAAP financial measure[7] in an SEC filing, it is required to display the most directly comparable GAAP measure with equal prominence and to provide a reconciliation between the non-GAAP measure and the equivalent GAAP measure. In other words, a company is not allowed to give more prominence to a non-GAAP financial measure in an SEC filing.

Similarly, the IFRS Practice Statement "Management Commentary," issued December 2010, requires disclosures when non-IFRS measures are included in financial reports:

> *If information from the financial statements has been adjusted for inclusion in management commentary, that fact should be disclosed. If financial performance measures that are not required or defined by IFRSs are included within management commentary, those measures should be defined and explained, including an explanation of the relevance of the measure to users. When financial performance measures are derived or drawn from the financial statements, those measures should be reconciled to measures presented in the financial statements that have been prepared in accordance with IFRSs. (page 17)*

The reconciliation between as-reported measures (GAAP financial measures presented in the financial statements) and as-adjusted measures (non-GAAP financial measures presented in places other than the financial statements) can provide important information.

The European Securities and Markets Authority (ESMA) published guidelines in October 2015 (*ESMA Guidelines on Alternative Performance Measures*) covering such points as the definition of APMs, reconciliation to GAAP, explanation of the metrics' relevance, and consistency over time. We discuss ESMA in more detail later in this module.

EXAMPLE 2

Presentation of Non-GAAP Financial Measures

Convatec Group PLC (Convatec), a global medical products manufacturer, raised USD1.8 billion through an initial public offering (IPO) on the London Stock Exchange in 2016. The company had been purchased by private equity firms from Bristol-Myers Squibb in 2008 for USD4.1 billion. Exhibit 7 presents excerpts from the company's regulatory filing at the London Stock Exchange announcing its full year 2016 results.

Exhibit 7:

Excerpt from Convatec's Press Release for Full Year 2016 Results

A. Strong results, delivering on strategy

CEO Review

At constant currency, revenue grew 4% to $1,688 million and adjusted EBITDA was $508 million, up 6.5% at constant currency. . .

[Footnote] Constant currency growth 'CER' is calculated by restating 2016 results using 2015 foreign exchange rates for the relevant period.

	2016	2015
Revenue	1,688.3	1,650.4
Cost of goods sold	–821.0	–799.9
Gross profit	867.3	850.5
Selling and distribution expenses	–357.0	–346.7
General and administrative expenses	–318.2	–233.1
Research and development expenses	–38.1	–40.3
Operating profit	154.0	230.4
Finance costs	–271.4	–303.6
Other expense, net	–8.4	–37.1
Loss before income taxes	–125.8	–110.3
Income tax (expense) benefit	–77.0	16.9
Net loss	–202.8	–93.4

B. Non-IFRS Financial Information

This release contains certain financial measures that are not defined or recognised under IFRS. These measures are referred to as "Adjusted" measures. . . . These measures are not measurements of financial performance or liquidity under IFRS and should not replace measures of liquidity or operating profit that are derived in accordance with IFRS.

C. Reconciliation to adjusted earnings

2016	Reported	(a)	(b)	(c)	(d)	(e)	(f)	(g)	Adjusted
Revenue	1,688.3	—	—	—	—	—	—	—	1,688.3
⋮									
Operating profit	**154.0**	**155.1**	**30.9**	**11.7**	**0.8**	**—**	**90.2**	**29.5**	**472.2**
⋮									
(Loss) profit before income taxes	–125.8	155.1	30.9	11.7	0.8	37.6	90.2	29.5	230.0
Income tax expense[(h)]	–77.0								–51.2
Net (loss) profit	–202.8								178.8

(a) Represents an adjustment to exclude (i) acquisition-related amortisation expense ... (ii) accelerated depreciation ... related to the closure of certain manufacturing facilities, and (iii) impairment charges and assets write offs related to property, plant and equipment and intangible assets ....

(b) Represents restructuring costs and other related costs ...

(c) Represents remediation costs which include regulatory compliance costs related to FDA activities, IT enhancement costs, and professional service fees associated with activities that were undertaken in respect of the Group's compliance function and to strengthen its control environment within finance.

(d) Represents costs primarily related to (i) corporate development activities and (ii) a settlement of ordinary course multi-year patent-related litigations in 2015 ....

(e) Represents adjustments to exclude (i) loss on extinguishment of debt and write off of deferred financing fees … and (ii) foreign exchange related transactions.

(f) Represents an adjustment to exclude (i) share-based compensation expense ... arising from pre-IPO employee equity grants and (ii) pre-IPO ownership structure related costs, including management fees to Nordic Capital and Avista (refer to Note 6 Related Party Transactions for further information).

(g) Represents IPO related costs, primary advisory fees.

(h) Adjusted income tax expense/benefit is income tax (expense) benefit net of tax adjustments.

D. Adjusted EBITDA

Adjusted EBITDA is defined as Adjusted EBIT . . . further adjusted to exclude (i) software and R&D amortisation, (ii) depreciation and (iii) post-IPO share-based compensation.

The following table reconciles the Group's Adjusted EBIT to Adjusted EBITDA.

Adjusted EBIT	472.2
Software and R&D amortization	6.7
Depreciation	27.9
Post-IPO share-based compensation	0.8
Adjusted EBITDA	507.6

1. Based on the information provided in Exhibit 7, explain the differences between the following two disclosures contained in Convatec's press release:

   A. CEO Review of 2016 results states that revenue grew 4 percent to USD1,688 million.
   B. Convatec's Consolidated Statement of Profit or Loss shows 2016 revenues of USD1,688.3 million and 2015 revenues of USD1,650.4 million.

Hide Solution

Solution:

The amount of revenue reported on the company's income statement conforms to International Financial Reporting Standards (IFRS). Using the amounts from the income statement, the company's total revenue increased by 2.3% (= USD1,688.3/USD1,650.4 – 1). The revenue growth rate of 4 percent in the CEO review is a non-IFRS measure, calculated on a "constant currency" basis, which the footnote describes as a comparison using 2016 revenues restated at 2015 foreign exchange rates.

2. Based on the information provided, explain the differences between the following two disclosures contained in Convatecs's earnings release:

   A. The CEO Review of 2016 results states that adjusted EBITDA was USD508 million, up 6.5 percent at constant currency.
   B. Convatec's Consolidated Statement of Profit or Loss shows 2016 net loss of USD202.8 million and 2015 net loss of USD93.4 million.

Hide Solution

Solution:

The amounts reported on the company's income statement conform to IFRS. Using amounts from the income statement, the company reported a loss in 2016 of USD202.8 million, which was more than twice as large a loss as the USD93.4 million loss reported in 2015. Also referring to the income statement, the company reported 2016 operating profit (referred to elsewhere as EBIT) of USD154.0 million, a decline of 33.2 percent from the USD230.4 million operating profit reported in 2016.

In contrast, the adjusted EBITDA amount highlighted in the CEO Review is neither defined nor recognized under IFRS. It is a non-IFRS measure. To create the adjusted EBITDA, the company first begins with EBIT (called Operating profit in excerpts II and III) of USD154.0 and creates adjusted EBIT (USD472.2 million) by adding back eight different expenses that IFRS requires the company to recognize. These adjustments are listed beneath the first tabular reconciliation in items (a) through (g). After developing Adjusted EBIT, the company creates adjusted EBITDA (USD507.6 million) by adding back a further three different expenses that IFRS requires the company to recognize.

Overall, there are three key differences between Disclosures A and B: (1) Most important, disclosure A refers to a non-IFRS metric rather than an IFRS-compliant metric; (2) Disclosure A refers to operating profit, which was positive, rather than to net income, which was negative; and (3) Disclosure A highlights a positive economic outcome—that is, an increase, on a currency-

Often, poor reporting quality occurs simultaneously with poor earnings quality; for example, aggressive accounting choices are made to obscure poor performance. It is also possible, of course, for poor reporting quality to occur with high-quality earnings. Although a company with good performance would not require aggressive accounting choices to obscure poor performance, it might nonetheless produce poor-quality reports for other reasons. A company with good performance might not be able to produce high-quality reports because of inadequate internal systems.

Another scenario in which poor reporting quality might occur simultaneously with high-quality earnings is that a company with good performance might deliberately produce reports based on "conservative" rather than aggressive accounting choices—that is, choices that make current performance look worse. One motivation might be to avoid unwanted political attention. Another motivation could arise in a period in which management had already exceeded targets before the end of the period and thus made conservative accounting choices that would delay reporting profits until the following period (so-called hidden reserves). Similar motivations might also contribute to accounting choices that create the appearance that the trajectory of future results would appear more attractive. For example, a company might make choices to accelerate losses in the first year of an acquisition or the first year of a new CEO's tenure so that the trajectory of future results would appear more attractive.

Overall, *unbiased* financial reporting is optimal. Some investors may prefer conservative choices rather than aggressive ones, however, because a positive surprise is easier to tolerate than a negative surprise. Biased reporting, whether conservative or aggressive, adversely affects a user's ability to assess a company.

The quality spectrum considers the more intuitive situation in which less-than-desired underlying economics are the central motivation for poor reporting quality. In addition, it is necessary to have some degree of reporting quality in order to evaluate earnings quality. Proceeding down the spectrum, therefore, the concepts of reporting quality and earnings quality become progressively less distinguishable.

Within GAAP, but "Earnings Management"

The next level down on the spectrum shown in Exhibit 2 is labeled "Within GAAP, but 'earnings management.'" The term "earnings management" is defined as making intentional choices that create biased financial reports.[8] The distinction between earnings management and biased choices is subtle and, primarily, a matter of intent. Earnings management represents "deliberate actions to influence reported earnings and their interpretation" (Ronen and Yaari, 2008). Earnings can be "managed" upward (increased) by taking *real* actions, such as deferring research and development (R&D) expenses into the next reporting period. Alternatively, earnings can be increased by *accounting* choices, such as changing accounting estimates. For example, the amount of estimated product returns, bad debt expense, or asset impairment could be decreased to create higher earnings. Because it is difficult to determine intent, we include earnings management under the biased choices discussion.

Discuss Filter

Discussion

What do you want to discuss... (required)

PC In Example for PACCAR, it says Truck Segment consists of Truck Sales + Aftermarket parts. If both are taken together as truck segment then Gross Profit is +ve. Yet in the sample answer it says that the Gross Profit was -ve. Why so can anyone explain?

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